

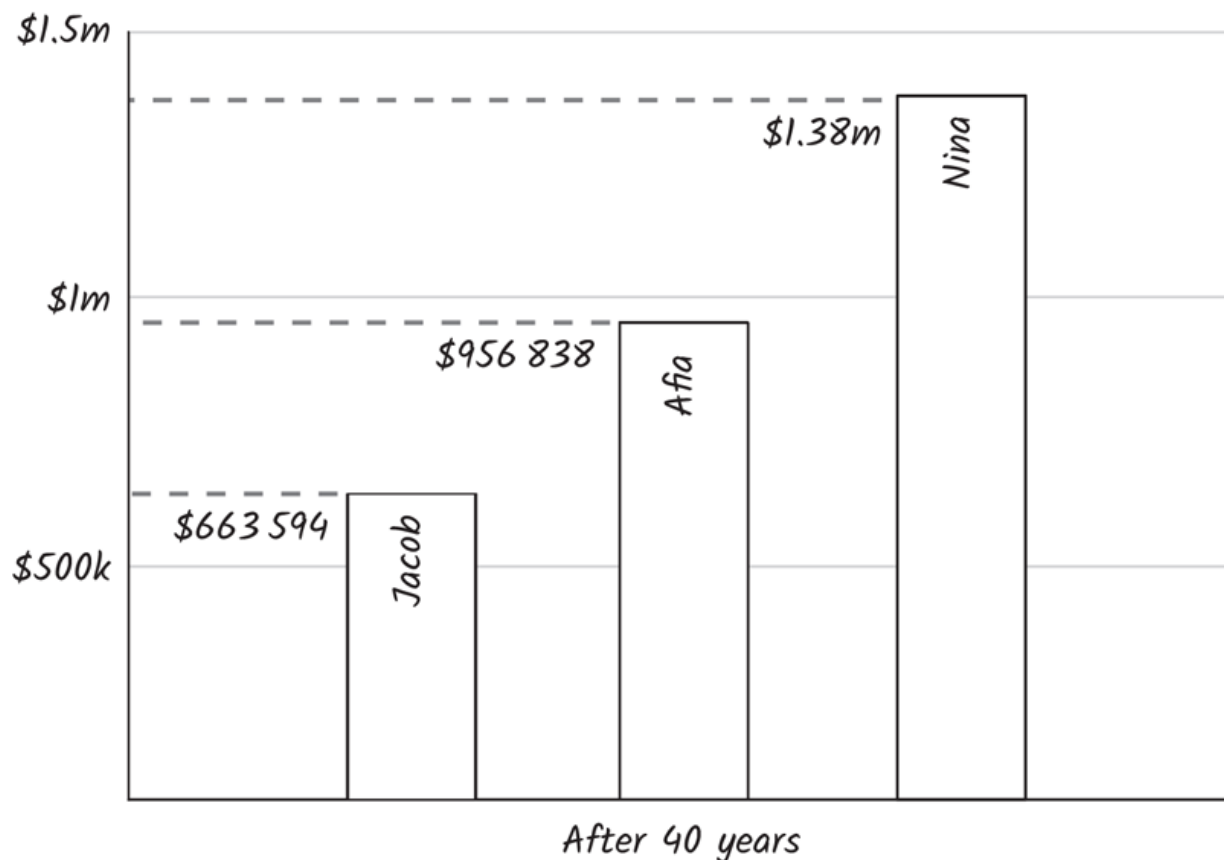


Figure 9.2: Jacob's, Afia's and Nina's investments

Some days you'll invest in the funds when they're a bit higher, some days you'll invest in funds when they're slightly lower, but by averaging out your chances of investing at a 'good price', you end up doing better in the long term.

The thing with the stock market is that a lot of big gains in the market can be concentrated in a few days; the market doesn't go up the same percentage every day. The Bank of America analysed data from over 91 years, all the way back to 1930, and found that there were only 10 days each decade that made a huge difference to an investor's portfolio. In fact, if an investor had missed out on the S&P 500's 10 best days each decade, their total return would be 28 per cent lower. But if they bought and held their investments through the ups and downs instead of trying to time the market, their return over the 91 years would have been around 15 000 per cent. They also found that some of the best days in the market actually follow big drops, as seen in the COVID-19 crash, where stocks rallied (a jargon term which means 'rose upwards') significantly.